INTERNATIONAL MONETARY FUND

ST. VINCENT AND THE GRENADINES

STAFF REPORT FOR THE 2012 ARTICLE IV CONSULTATION—DEBT SUSTAINABILITY ANALYSIS

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Prepared by the Staff of the International Monetary Fund.

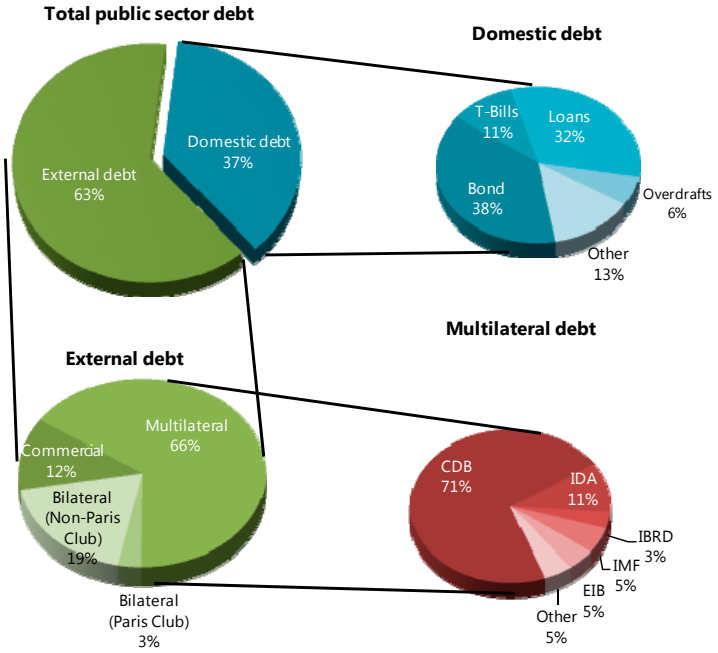
The current Debt Sustainability Analysis (DSA) indicates that, under the baseline scenario discussed in the Staff Report, St. Vincent and the Grenadines' risk of external debt distress remains moderate. While the public sector debt will increase further in the coming two years owing to anticipated borrowing for the airport project, the public debt to GDP ratio is projected to revert to a sustainable trajectory over the medium term in light of the authorities' commitment to undertake fiscal consolidation measures and the projected rebound in economic growth.

INTRODUCTION

1. **Slow recovery appears to be underway after three consecutive years of output contraction.** Economic activity contracted by about 1.7 percent per annum, on average, during 2008–10, reflecting the impacts of the global slowdown, the international commodity price increases in 2008–09, and draught and Hurricane Tomas in 2010. Another weather shock, torrential rains and floods, in April 2011 derailed the ongoing recovery; as a result, growth remained tepid at around ½ percent last year. Government efforts to counter the impacts of these shocks resulted in a reversal of the 1.1 percent of GDP primary surplus in 2008 to a persistent deficit since then. At the same time, the public sector debt-to-GDP ratio increased by 10½ percentage points to 67.8 percent in 2011. External debt constituted around 63 percent of the public sector debt at end-2011, of which about two-thirds is multilateral debt. The Caribbean Development Bank is the creditor for the bulk of the multilateral debt. The central government owed about 85 percent of the total public sector debt at end-2011, with the rest owed by state-owned enterprises.[1]

Public Sector Debt, end-2010

(In percent)



2. **The fiscal stance is expected to be tighter this year, reflecting financing shortfalls.** Revenue outturns and external disbursements for the first 10 months of the year fell short of expectations. As usual, the brunt of financing shortages falls on capital expenditure, where only a quarter of the planned projects

[1] See Appendix III of the Staff Report for further discussion of the financial performance of state-owned enterprises.

are expected to be executed. The overall deficit is expected to be 2¾ percent of GDP, lower by about a percentage point of GDP compared to last year.

UNDERLYING ASSUMPTIONS IN THE BASELINE SCENARIO

3. **The DSA analysis is based on the following macroeconomic framework, assuming that the authorities will implement the policies discussed in baseline scenario of the staff report.**

- **Growth and Inflation**: Growth is expected to be around ½ percent in 2012 and to increase to 1 percent in 2013. Over the medium term, growth is projected to reach its potential level of 3 percent, reflecting improved employment and consumption conditions in tourism and FDI source countries and the expected completion of the international airport project. End-period inflation is expected to have eased to around ¾ percent in 2012, reflecting declining international food and fuel prices. Over the medium term, inflation is projected to revert to its long-term path of around 2½ percent, anchored by the currency board arrangement.

- **Fiscal Balance**: While a small surplus of around ½ percent of GDP is expected for this year, the public sector primary balance is projected to deteriorate significantly next year to a deficit of 3½ percent of GDP due to expected increasing activity at the international airport project financed mainly by borrowing. Over the medium term, however, the primary balance is projected to register surpluses in the range of 2 percent of GDP, mainly reflecting the central government's commitment to generate primary surpluses in the range of 1 percent of GDP, and the expected completion of the airport project[2]. Revenue is projected to increase over the medium term, reflecting the authorities' plan to implement a number of revenue enhancing measures such as implementation of market-based property tax, improvements in compliance and enhancement of tax audits, and streamlining exemptions. External grants, which peaked in 2009, are projected to decline to around 2 percent of GDP over the medium term and further fall to 1½ percent of GDP in the long term. On the other hand, expenditures in percent of GDP are expected to remain high as there is limited appetite for expenditure cutting measures.

- **External Sector**: The current account deficit is expected to remain high at around 28 percent of GDP in 2012, but it is projected to narrow continuously to around 18 percent of GDP by 2017. Tourism and FDI are assumed to rebound as economic recovery strengthens in source countries (mainly North America and Europe), over the medium term. The grant element of new external borrowing is projected to fall over the medium to long term, reflecting difficulty of accessing concessional resources as per capita income increases, however, the grant element will continue

[2] The SOE's projected primary deficit in the coming two years is primarily due to the international airport project, which is managed by a state-owned enterprise (the International Airport Development Corporation). After the completion of the project in 2014, the SOEs combined are expected to generate primary surpluses in the range of 1 percent of GDP.

to remain high in the near to medium term in line with the central government's commitment not to borrow on non-concessional terms.

EVALUATION OF PUBLIC SECTOR DEBT SUSTAINABILITY

4. **The public sector debt will continue to increase in the near term, but is projected to revert to a downward trajectory over the medium term as long as the authorities generate primary surpluses in the range of 1 percent of GDP**. The public sector debt-to-GDP ratio is projected to peak at 74.7 percent by 2014, mainly reflecting borrowing for the International Airport project. However, the debt trajectory is expected to start a downward trend afterwards, reflecting fiscal consolidation measures that the authorities plan to take combined with the projected rebound in economic growth, as discussed in the staff report. The public debt-to-GDP ratio is projected to fall to 59 percent of GDP by 2020, just below the ECCB's recommended threshold of 60 percent.

5. **Sensitivity analysis shows that permanently lower GDP growth is a key vulnerability for St. Vincent and the Grenadine's debt dynamics**. Under a scenario where growth is permanently lower by one standard deviation divided by the square root of the length of the projection period, the Present Value (PV) of debt-to-GDP ratio would reach 71 percent by 2022 and over 97 percent by 2032, compared to the base line levels of 51 percent and 32 percent in 2022 and 2032, respectively (Table 1b, Scenario A2).

EVALUATION OF EXTERNAL DEBT SUSTAINABILITY

6. **St. Vincent and the Grenadines' risk of external debt distress remains moderate**. Under the baseline scenario, the PV of public sector external debt is estimated at 39 percent of GDP in 2012 and is projected to decline to 24 percent of GDP by 2022, half of the threshold value of 50 percent[3] (Table 2b). The present values of debt and debt service to export and revenue ratios also remain below the respective thresholds under the baseline scenario. Nevertheless, these ratios would permanently exceed the respective prudential thresholds under the 'Historical' scenario, where key macroeconomic variables such as real GDP growth, GDP deflator, growth of exports, and non-debt creating flows are assumed to be at their respective averages for the last 10 years.[4] This highlights the pressing need for implementing fiscal consolidation and structural reform measures, as discussed in the staff report, to improve competitiveness and jumpstart economic activity.

[3] The DSA uses policy-dependent external debt burden indicators. Policy performance is measured by the Country Policy and Institutional Assessment Index (CPIA), compiled annually by the World Bank, categorizing countries into three groups based on the quality of their macroeconomic policies (strong, medium, and poor). St. Vincent and the Grenadines is classified as a strong performer, with the thresholds on PV of debt-to-GDP, debt-to-exports, and debt-to-revenue of 50, 200 and 300 percent, respectively.

[4] The historical scenario for this year's DSA differs significantly from that of last year's DSA because the 10-year historical averages for this year drops one 'good' year (2000) and includes one 'bad' year (2011) for key macroeconomic variables.

7. **Sensitivity analysis shows that St. Vincent and the Grenadines' external debt dynamics is vulnerable to changes in non-debt creating flows and the nominal exchange rate**. The stress test assuming that net non-debt creating flows are at historical average minus one standard deviation in 2013-2014 shows that the PV of external debt-to-GDP ratio would jump to 52 percent in 2013, breaching the country-specific threshold of 50 percent, and will remain above 50 until 2019. Similarly, the PV of external debt-to-GDP ratio would jump to 56 percent in 2013 and remain above 50 percent until 2016 under the scenario of a one-time 30 percent nominal depreciation relative to the baseline in 2013 (Table 2b, Scenario B6).

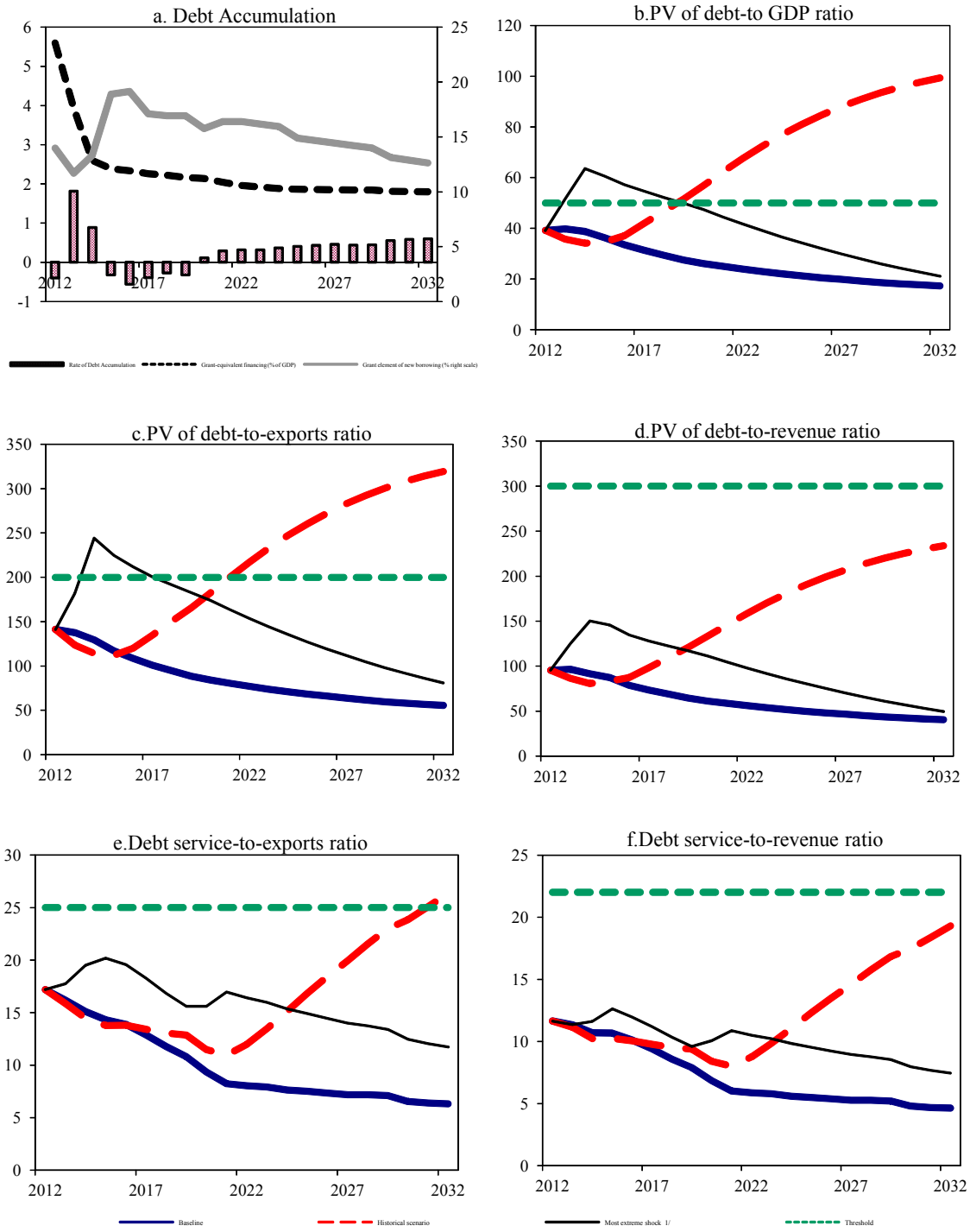
ACTIVE SCENARIO: HIGHER CAPITAL SPENDING AND NO COMMERCIAL BORROWING FOR THE AIRPORT

8. **Re-orientation of central government spending into infrastructure and avoiding commercial borrowing for the airport would reduce the public sector debt to a more desirable level**. Additional investment in infrastructure, financed through savings from current expenditure, would increase medium-term growth by about ½ a percentage point. This would help reduce the public sector debt in percent of GDP. Further reduction in public sector debt would be achieved if the government continues to rely on external grants, land sales and some concessional resources for the airport project, avoiding the planned commercial borrowing assumed in the baseline. Under this scenario, the public sector debt would fall to 52½ percent of GDP by 2020. While the external debt distress still remains in the moderate range, the PV of public sector external debt would be at 38 percent of GDP in 2013 and is projected to decline to 25 percent of GDP by 2022, well below the threshold value of 50 percent (Figure 3).

CONCLUSION

9. **St. Vincent and the Grenadines' public debt is projected to revert to a sustainable trajectory over the medium term and the external debt distress remains moderate**. While the fiscal situation has been deteriorating in recent years, the authorities are committed to fiscal consolidation measures, in particular on the revenue side. These, along with projected improvements in economic prospects, are expected to improve the fiscal situation and ensure debt sustainability over the medium term. Re-orientation of spending into capital projects would improve the medium-term growth prospects and bring down public sector debt to a more desirable level.

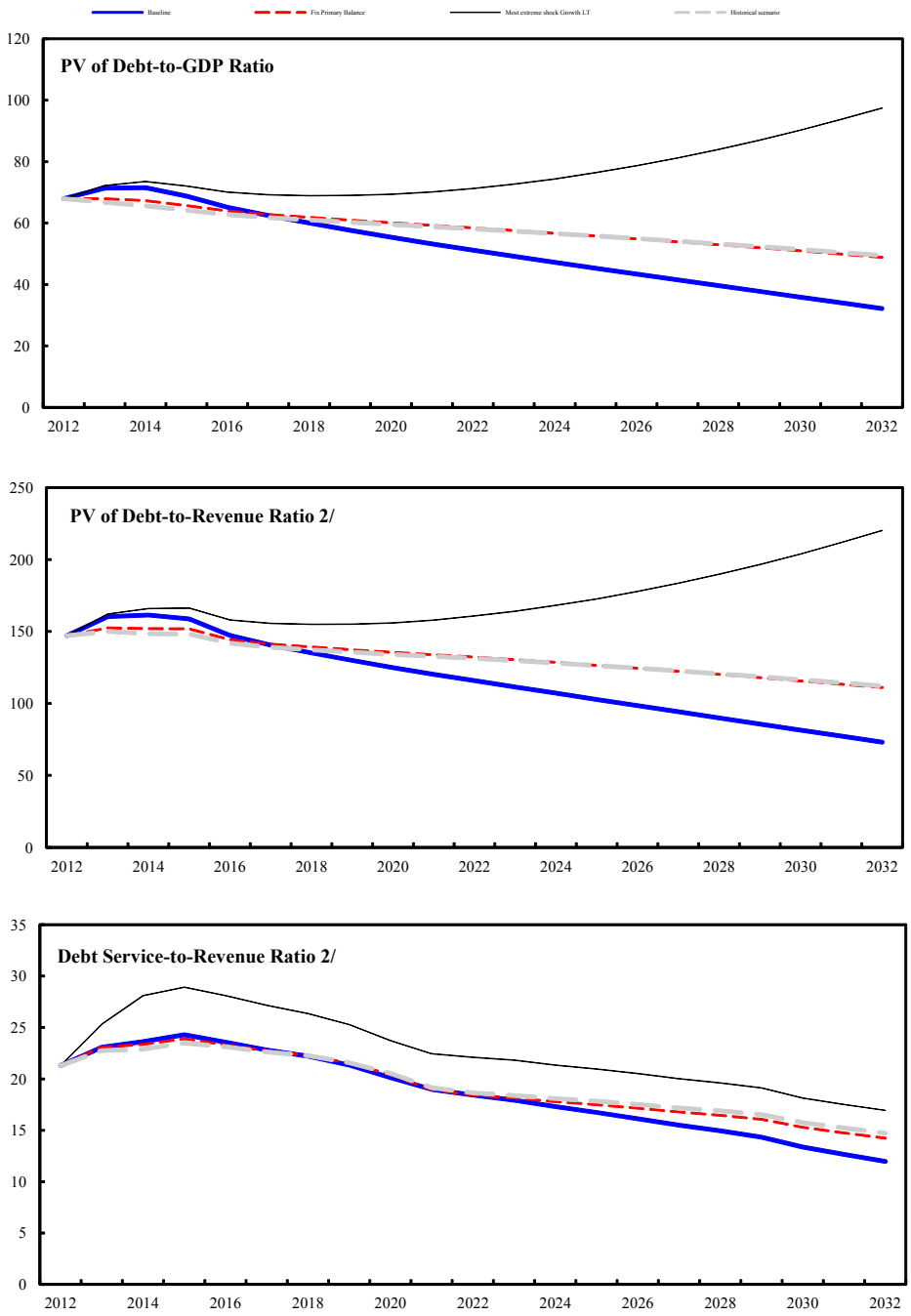
Figure 1. St. Vincent and the Grenadines: Indicators of Public and Publicly Guaranteed External Debt under Alternatives Scenarios, 2012–32[1/]



Sources: Country authorities; and staff estimates and projections.

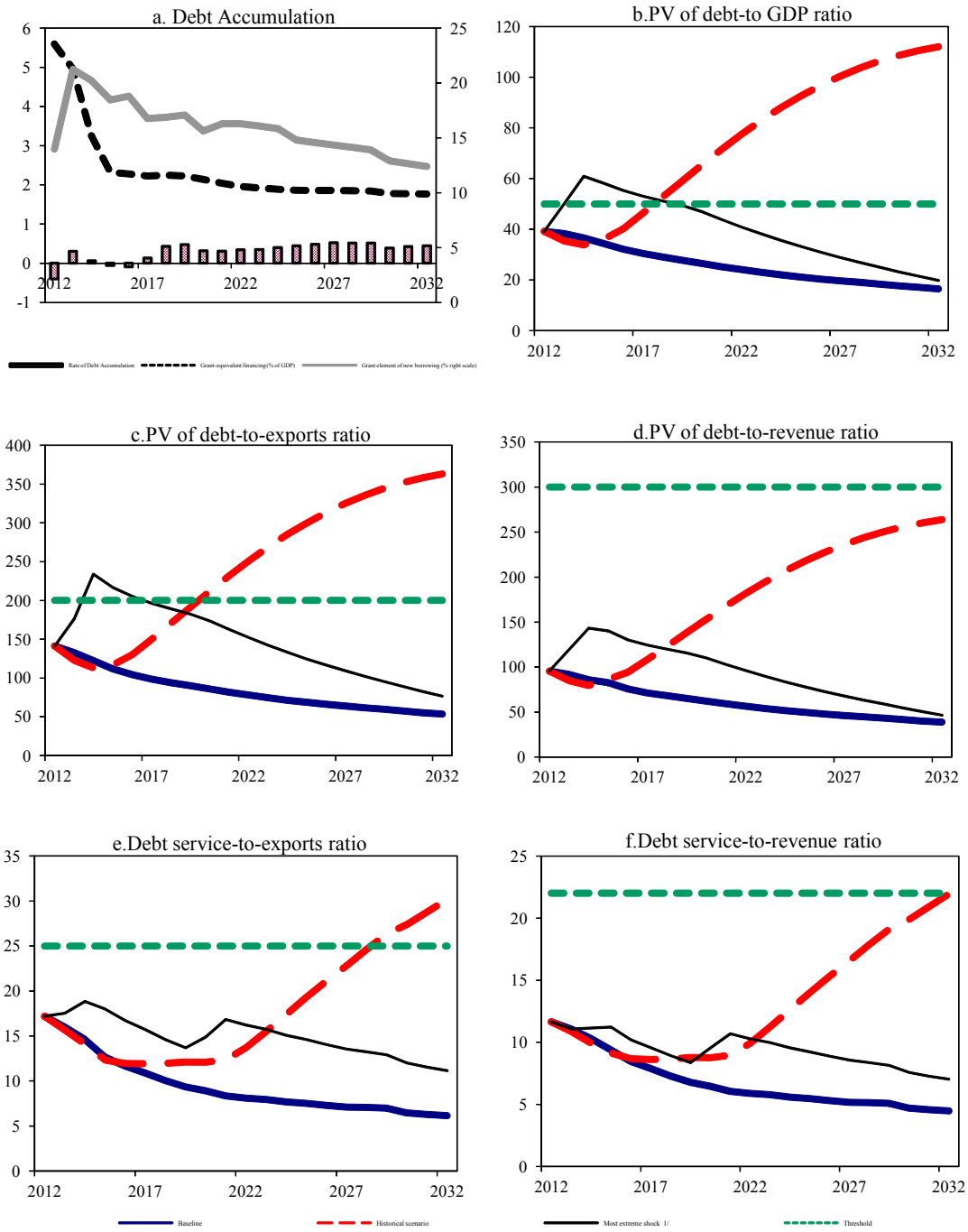
1/ The most extreme stress test is the test that yields the highest ratio in 2022. In figure b. it corresponds to a Non-debt flows shock; in c. to a Combination shock; in d. to a Non-debt flows shock; in e. to a Combination shock and in figure f. to a Non-debt flows shock

Figure 2. St. Vincent and the Grenadines: Indicators of Public Debt Under Alternative Scenarios, 2012–32[1/]



Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio in 2022.
2/ Revenues are defined inclusive of grants.

Figure 3. St. Vincent and the Grenadines: Indicators of Public and Publicly Guaranteed External Debt under the Active Scenario, 2012–32[1/]



Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in 2022. In figure b. it corresponds to a Non-debt flows shock; in c. to a Combination shock; in d. to a Non-debt flows shock; in e. to a Combination shock and in figure f. to a Non-debt flows shock.

Table 1a. St. Vincent and the Grenadines: Public Sector Debt Sustainability Framework, Baseline Scenario, 2009–32
(In percent of GDP, unless otherwise indicated)

	Actual					Estimate	Projections								
	2009	2010	2011	Average 6/	Standard Deviation 6/	2012	2013	2014	2015	2016	2017	2012-17 Average	2022	2032	2018-32 Average
Public sector debt 1/	64.6	66.2	67.8			70.2	74.2	74.7	72.2	68.9	66.2		54.8	35.5	
o/w foreign-currency denominated	33.1	41.6	42.7			41.5	42.6	41.9	39.8	37.2	35.1		27.6	20.5	
Change in public sector debt	7.3	1.6	1.6			2.3	4.1	0.5	-2.5	-3.4	-2.6		-2.1	-1.9	
Identified debt-creating flows	4.6	1.8	-0.3			1.0	3.8	0.2	-2.5	-3.4	-2.6		-2.1	-1.9	
Primary deficit	-1.1	1.4	-1.9	-0.6	1.9	-0.4	3.4	0.4	-1.6	-2.2	-2.1	-0.4	-1.8	-1.6	-1.8
Revenue and grants	48.3	45.9	46.0			46.1	44.5	44.3	43.3	44.3	44.4		44.2	44.0	
of which: grants	7.0	4.4	5.1			5.1	3.3	2.0	1.8	1.8	1.8		1.6	1.5	
Primary (noninterest) expenditure	47.3	47.3	44.1			45.8	47.9	44.7	41.7	42.1	42.4		42.4	42.4	
Automatic debt dynamics	5.7	2.6	2.0			1.3	1.3	-0.2	-0.9	-1.2	-0.6		-0.3	-0.3	
Contribution from interest rate/growth differential	5.1	3.3	1.6			1.6	1.5	0.4	-0.4	-0.8	-0.3		-0.1	-0.2	
of which: contribution from average real interest rate	3.8	1.8	1.9			2.0	2.2	1.9	1.7	1.7	1.7		1.5	0.9	
of which: contribution from real GDP growth	1.3	1.5	-0.3			-0.3	-0.7	-1.4	-2.2	-2.5	-2.0		-1.7	-1.1	
Contribution from real exchange rate depreciation	0.6	-0.7	0.4			…	…	…	…	…	…		...	...	
Other identified debt-creating flows	0.0	-2.3	-0.5			0.0	-0.9	0.0	0.0	0.0	0.0		0.0	0.0	
Privatization receipts (negative)	0.0	-2.3	-0.5			0.0	-0.9	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes 2/	2.7	-0.2	1.9			1.1	0.0	-0.4	-0.5	-0.4	-0.2		-0.2	0.0	
Other Sustainability Indicators															
PV of public sector debt	...	...	65.8			67.9	71.4	71.5	68.7	65.2	62.5		51.2	32.2	
o/w foreign-currency denominated	...	...	40.7			39.2	39.8	38.8	36.3	33.6	31.4		24.0	17.3	
o/w external	...	...	40.7			39.2	39.8	38.8	36.3	33.6	31.4		24.0	17.3	
PV of contingent liabilities (not included in public sector debt)	...	...	...			...	...	...	...	...	...		...	...	
Gross financing need 3/	9.4	12.3	7.6			9.4	13.7	10.9	9.0	8.2	8.1		6.3	3.6	
PV of public sector debt-to-revenue and grants ratio (in percent)	…	…	143.3			147.1	160.3	161.5	158.8	147.2	140.5		115.8	73.1	
PV of public sector debt-to-revenue ratio (in percent)	…	…	161.0			165.6	173.1	169.1	165.5	153.3	146.3		120.2	75.8	
o/w external 4/	…	…	99.6			95.6	96.5	91.7	87.4	78.9	73.5		56.2	40.7	
Debt service-to-revenue and grants ratio (in percent) 4/	21.7	23.7	20.6			21.3	23.1	23.6	24.3	23.6	22.8		18.4	12.0	
Debt service-to-revenue ratio (in percent) 5/	25.3	26.2	23.2			24.0	24.9	24.8	25.3	24.5	23.7		19.1	12.4	
Primary deficit that stabilizes the debt-to-GDP ratio	-8.4	-0.2	-3.5			-2.7	-0.6	-0.1	0.9	1.2	0.6		0.3	0.3	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	-2.2	-2.3	0.4	2.5	3.5	0.5	1.0	2.0	3.0	3.5	3.0	2.2	3.0	3.0	3.0
Average nominal interest rate on forex debt (in percent)	4.8	4.0	3.5	3.9	0.7	3.7	3.7	3.5	3.3	3.2	3.1	3.4	2.7	2.8	2.7
Average real interest rate on domestic debt (in percent)	9.4	2.7	5.4	5.2	3.0	4.7	4.5	3.2	3.3	3.7	4.2	3.9	4.9	5.0	4.9
Real exchange rate depreciation (in percent, + indicates depreciation)	1.7	-2.0	1.0	0.0	2.7	...	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	-0.8	3.4	1.1	2.3	3.1	2.5	1.9	2.9	2.8	2.8	2.6	2.6	2.6	2.6	2.6
Growth of real primary spending (deflated by GDP deflator, in percent)	0.0	0.0	-0.1	0.1	0.1	0.0	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Grant element of new external borrowing (in percent)	...	...	...	…	…	14.0	11.7	13.3	18.9	19.2	17.1	15.7	16.4	12.6	...

Sources: Country authorities; and staff estimates and projections.
1/ Gross public sector external debt (central government and state-owned enterprises).
2/ Also includes contributions from the real exchange rate in the projection period.
3/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.
4/ Revenues excluding grants.
5/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.
6/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

Table 1b. St. Vincent and the Grenadines: Sensitivity Analysis for Key Indicators of Public Debt 2012–32

	Projections											
	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2032
PV of Debt-to-GDP Ratio												
Baseline	68	71	72	69	65	62	60	58	55	53	51	32
A. Alternative scenarios												
A1. Real GDP growth and primary balance are at historical averages	68	67	66	64	63	62	61	60	60	59	58	49
A2. Primary balance is unchanged from 2012	68	68	67	66	64	63	62	61	60	59	58	49
A3. Permanently lower GDP growth 1/	68	72	74	72	70	69	69	69	69	70	71	97
B. Bound tests												
B1. Real GDP growth is at historical average minus one standard deviations in 2013-2014	68	74	78	77	75	74	73	73	72	71	71	66
B2. Primary balance is at historical average minus one standard deviations in 2013-2014	68	69	70	68	64	61	59	57	54	52	50	31
B3. Combination of B1-B2 using one half standard deviation shocks	68	69	70	68	65	62	60	59	57	55	54	39
B4. One-time 30 percent real depreciation in 2013	68	88	88	85	80	77	75	72	69	67	65	45
B5. 10 percent of GDP increase in other debt-creating flows in 2013	68	81	81	78	74	71	68	66	63	61	59	38
PV of Debt-to-Revenue Ratio 2/												
Baseline	147	160	161	159	147	141	135	130	125	120	116	73
A. Alternative scenarios												
A1. Real GDP growth and primary balance are at historical averages	147	150	148	148	142	139	137	136	134	133	131	112
A2. Primary balance is unchanged from 2012	147	153	152	152	144	141	139	137	135	134	132	111
A3. Permanently lower GDP growth 1/	147	162	166	166	158	156	155	155	156	158	161	220
B. Bound tests												
B1. Real GDP growth is at historical average minus one standard deviations in 2013-2014	147	165	176	177	169	166	165	163	162	161	160	149
B2. Primary balance is at historical average minus one standard deviations in 2013-2014	147	156	159	156	145	138	133	128	123	118	114	72
B3. Combination of B1-B2 using one half standard deviation shocks	147	154	157	156	146	140	136	132	128	125	122	89
B4. One-time 30 percent real depreciation in 2013	147	199	199	195	182	174	168	162	156	151	147	102
B5. 10 percent of GDP increase in other debt-creating flows in 2013	147	181	182	179	167	160	154	148	143	138	133	87
Debt Service-to-Revenue Ratio 2/												
Baseline	21	23	24	24	24	23	22	21	20	19	18	12
A. Alternative scenarios												
A1. Real GDP growth and primary balance are at historical averages	21	23	23	24	23	23	22	22	21	19	19	15
A2. Primary balance is unchanged from 2012	21	23	23	24	23	23	22	22	20	19	18	14
A3. Permanently lower GDP growth 1/	21	23	24	25	24	24	24	23	22	21	21	21
B. Bound tests												
B1. Real GDP growth is at historical average minus one standard deviations in 2013-2014	21	24	25	26	25	24	24	23	22	21	21	17
B2. Primary balance is at historical average minus one standard deviations in 2013-2014	21	23	23	24	24	23	22	21	20	19	18	12
B3. Combination of B1-B2 using one half standard deviation shocks	21	23	24	24	24	23	22	22	20	19	18	13
B4. One-time 30 percent real depreciation in 2013	21	25	28	29	28	27	26	25	24	22	22	17
B5. 10 percent of GDP increase in other debt-creating flows in 2013	21	23	24	25	24	23	23	22	21	21	20	13

Sources: Country authorities; and staff estimates and projections.
1/ Assumes that real GDP growth is at baseline minus one standard deviation divided by the square root of the length of the projection period.
2/ Revenues are defined inclusive of grants.

Table 2a. External Debt Sustainability Framework, Baseline Scenario, 2009–32[1/]
(In percent of GDP, unless otherwise indicated)

	Actual			Historical Average [6/]	Standard Deviation [6/]	Projections									
	2009	2010	2011			2012	2013	2014	2015	2016	2017	2012-2017 Average	2022	2032	2018-2032 Average
External debt (nominal) 1/	**33.1**	**41.6**	**42.7**			**41.5**	**42.6**	**41.9**	**39.8**	**37.2**	**35.1**		**27.6**	**20.5**	
o/w public and publicly guaranteed (PPG)	33.1	41.6	42.7			41.5	42.6	41.9	39.8	37.2	35.1		27.6	20.5	
Change in external debt	2.7	8.5	1.2			-1.3	1.2	-0.7	-2.2	-2.5	-2.1		-1.1	-0.4	
Identified net debt-creating flows	-13.9	-8.3	-5.3			-7.9	-11.1	-14.6	-18.5	-21.1	-23.2		-23.0	-22.8	
Non-interest current account deficit	**27.8**	**29.3**	**27.3**	**21.9**	**7.6**	**26.3**	**25.3**	**23.8**	**21.1**	**19.1**	**17.2**		**17.5**	**17.7**	17.6
Deficit in balance of goods and services	29.0	30.3	28.0			27.2	26.3	24.8	20.9	18.9	17.0		17.0	17.0	
Exports	28.5	26.9	26.4			27.7	28.9	29.9	30.9	30.9	31.1		31.1	31.1	
Imports	57.6	57.2	54.5			54.9	55.2	54.7	51.8	49.8	48.1		48.1	48.1	
Net current transfers (negative = inflow)	-1.7	-1.5	-1.1	-2.4	0.8	-1.4	-1.6	-1.6	-1.6	-1.6	-1.5		-1.5	-1.5	-1.5
o/w official	-0.5	-0.7	-0.4			-0.4	-0.4	-0.3	-0.3	-0.3	-0.3		-0.3	-0.3	
Other current account flows (negative = net inflow)	0.4	0.5	0.4			0.5	0.6	0.6	1.8	1.7	1.7		2.0	2.2	
Net FDI (negative = inflow)	**-44.1**	**-38.5**	**-33.5**	**-37.8**	**13.1**	**-35.5**	**-37.5**	**-39.0**	**-39.7**	**-40.0**	**-40.4**		**-40.4**	**-40.4**	-40.4
Endogenous debt dynamics 2/	**2.5**	**1.0**	**0.8**			**1.3**	**1.1**	**0.6**	**0.1**	**-0.1**	**0.0**		**-0.1**	**-0.1**	
Contribution from nominal interest rate	1.5	1.3	1.4			1.5	1.5	1.4	1.3	1.2	1.1		0.7	0.5	
Contribution from real GDP growth	0.7	0.8	-0.2			-0.2	-0.4	-0.8	-1.2	-1.3	-1.1		-0.8	-0.6	
Contribution from price and exchange rate changes	0.3	-1.1	-0.4			…	…	…	…	…	…		…	…	
Residual (3-4) 3/	**16.7**	**16.8**	**6.5**			**6.6**	**12.3**	**13.9**	**16.3**	**18.6**	**21.2**		**21.9**	**22.3**	
o/w exceptional financing	1.9	10.0	-9.0			-5.0	-0.1	-1.3	0.7	0.9	1.4		1.4	1.4	
PV of external debt 4/	...	...	40.7			39.2	39.8	38.8	36.3	33.6	31.4		24.0	17.3	
In percent of exports	...	...	154.1			141.2	137.7	129.5	117.4	108.5	100.9		77.0	55.5	
PV of PPG external debt	**...**	**...**	**40.7**			**39.2**	**39.8**	**38.8**	**36.3**	**33.6**	**31.4**		**24.0**	**17.3**	
In percent of exports	**...**	**...**	**154.1**			**141.2**	**137.7**	**129.5**	**117.4**	**108.5**	**100.9**		**77.0**	**55.5**	
In percent of government revenues	**...**	**...**	**99.6**			**95.6**	**96.5**	**91.7**	**87.4**	**78.9**	**73.5**		**56.2**	**40.7**	
Debt service-to-exports ratio (in percent)	**15.3**	**17.5**	**17.4**			**17.2**	**16.2**	**15.1**	**14.3**	**13.9**	**12.9**		**8.0**	**6.3**	
PPG debt service-to-exports ratio (in percent)	**15.3**	**17.5**	**17.4**			**17.2**	**16.2**	**15.1**	**14.3**	**13.9**	**12.9**		**8.0**	**6.3**	
PPG debt service-to-revenue ratio (in percent)	**10.5**	**11.4**	**11.3**			**11.6**	**11.3**	**10.7**	**10.7**	**10.1**	**9.4**		**5.9**	**4.6**	
Total gross financing need (Billions of U.S. dollars)	-0.1	0.0	0.0			0.0	-0.1	-0.1	-0.1	-0.1	-0.2		-0.2	-0.4	
Non-interest current account deficit that stabilizes debt ratio	25.0	20.8	26.2			27.6	24.1	24.5	23.3	21.6	19.3		18.6	18.1	
Key macroeconomic assumptions															
Real GDP growth (in percent)	-2.2	-2.3	0.4	2.5	3.5	0.5	1.0	2.0	3.0	3.5	3.0	2.2	3.0	3.0	3.0
GDP deflator in US dollar terms (change in percent)	-0.8	3.4	1.1	2.3	3.1	2.5	1.9	2.9	2.8	2.8	2.6	2.6	2.6	2.6	2.6
Effective interest rate (percent) 5/	4.8	4.0	3.5	3.9	0.7	3.7	3.7	3.5	3.3	3.2	3.1	3.4	2.7	2.8	2.7
Growth of exports of G&S (US dollar terms, in percent)	-8.5	-4.7	-0.2	0.5	5.4	8.0	7.3	8.7	9.4	6.5	6.3	7.7	5.7	5.7	5.7
Growth of imports of G&S (US dollar terms, in percent)	-9.9	0.3	-3.2	6.4	9.5	3.8	3.5	4.1	0.2	2.4	2.2	2.7	5.7	5.7	5.7
Grant element of new public sector borrowing (in percent)	...	...	...	...	...	14.0	11.7	13.3	18.9	19.2	17.1	15.7	16.4	12.6	15.0
Government revenues (excluding grants, in percent of GDP)	41.4	41.5	40.9			41.0	41.2	42.3	41.5	42.5	42.7		42.6	42.5	42.6
Aid flows (in Billions of US dollars) 7/	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
o/w Grants	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
o/w Concessional loans	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Grant-equivalent financing (in percent of GDP) 8/	...	...	...			5.6	3.9	2.6	2.4	2.3	2.3		2.0	1.8	1.9
Grant-equivalent financing (in percent of external financing) 8/	...	...	...			67.1	44.4	40.3	47.3	49.3	48.8		51.4	49.1	50.3
Memorandum items:															
Nominal GDP (Billions of US dollars)	0.7	0.7	0.7			0.7	0.7	0.8	0.8	0.9	0.9		1.2	2.1	
Nominal dollar GDP growth	-3.0	1.0	1.5			3.0	3.0	5.0	5.9	6.5	5.7	4.8	5.7	5.7	5.7
PV of PPG external debt (in Billions of US dollars)			0.3			0.3	0.3	0.3	0.3	0.3	0.3		0.3	0.4	
(PVt-PVt-1)/GDPt-1 (in percent)						-0.4	1.8	0.9	-0.3	-0.6	-0.4	0.2	0.3	0.6	0.3
Gross workers' remittances (Billions of US dollars)	0.02	0.02	0.02			0.02	0.02	0.02	0.02	0.02	0.03		0.03	0.06	
PV of PPG external debt (in percent of GDP + remittances)	...	...	39.4			37.9	38.6	37.6	35.3	32.6	30.5		23.3	16.8	
PV of PPG external debt (in percent of exports + remittances)	...	...	136.5			126.0	124.0	117.5	107.1	99.3	92.6		70.7	51.0	
Debt service of PPG external debt (in percent of exports + remittances)	...	...	15.5			15.3	14.6	13.7	13.1	12.7	11.8		7.4	5.8	

Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.
2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.
3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.
4/ Assumes that PV of private sector debt is equivalent to its face value.
5/ Current-year interest payments divided by previous period debt stock.
6/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.
7/ Defined as grants, concessional loans, and debt relief.
8/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

Table 2b. St. Vincent and the Grenadines: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2012–32
(In percent)

							Projections	
	2012	2013	2014	2015	2016	2017	**2022**	2032
PV of debt-to GDP ratio								
Baseline	39	40	39	36	34	31	**24**	17
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2012-2032 1/	39	36	34	35	37	42	**68**	99
A2. New public sector loans on less favorable terms in 2012-2032 2	39	41	41	40	38	36	**31**	29
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2013-2014	39	41	41	38	35	33	**25**	18
B2. Export value growth at historical average minus one standard deviation in 2013-2014 3/	39	43	48	45	42	40	**31**	19
B3. US dollar GDP deflator at historical average minus one standard deviation in 2013-2014	39	41	41	39	36	33	**26**	18
B4. Net non-debt creating flows at historical average minus one standard deviation in 2013-2014 4/	39	52	64	61	57	55	**42**	21
B5. Combination of B1-B4 using one-half standard deviation shocks	39	49	63	60	56	54	**41**	22
B6. One-time 30 percent nominal depreciation relative to the baseline in 2013 5/	39	56	55	51	48	44	**34**	24
PV of debt-to-exports ratio								
Baseline	141	138	130	117	108	101	**77**	56
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2012-2032 1/	141	124	114	112	120	135	**217**	319
A2. New public sector loans on less favorable terms in 2012-2032 2	141	142	138	128	121	116	**100**	94
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2013-2014	141	138	130	117	108	101	**77**	56
B2. Export value growth at historical average minus one standard deviation in 2013-2014 3/	141	167	206	188	176	165	**126**	78
B3. US dollar GDP deflator at historical average minus one standard deviation in 2013-2014	141	138	130	117	108	101	**77**	56
B4. Net non-debt creating flows at historical average minus one standard deviation in 2013-2014 4/	141	179	213	196	185	176	**134**	68
B5. Combination of B1-B4 using one-half standard deviation shocks	141	182	244	225	212	201	**154**	81
B6. One-time 30 percent nominal depreciation relative to the baseline in 2013 5/	141	138	130	117	108	101	**77**	56
PV of debt-to-revenue ratio								
Baseline	96	97	92	87	79	74	**56**	41
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2012-2032 1/	96	87	81	83	87	98	**159**	234
A2. New public sector loans on less favorable terms in 2012-2032 2	96	99	97	95	88	84	**73**	69
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2013-2014	96	98	96	92	83	77	**59**	43
B2. Export value growth at historical average minus one standard deviation in 2013-2014 3/	96	104	113	109	99	94	**72**	44
B3. US dollar GDP deflator at historical average minus one standard deviation in 2013-2014	96	99	98	93	84	78	**60**	43
B4. Net non-debt creating flows at historical average minus one standard deviation in 2013-2014 4/	96	125	150	146	135	128	**98**	50
B5. Combination of B1-B4 using one-half standard deviation shocks	96	118	149	144	133	126	**97**	51
B6. One-time 30 percent nominal depreciation relative to the baseline in 2013 5/	96	137	130	124	112	104	**80**	58

Table 2b. St. Vincent and the Grenadines: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2012–32 (Cont'd.)
(In percent)

Debt service-to-exports ratio								
Baseline	17	16	15	14	14	13	**8**	6
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2012-2032 1/	17	16	14	14	14	13	**12**	26
A2. New public sector loans on less favorable terms in 2012-2032 2	17	16	15	13	12	12	**9**	8
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2013-2014	17	16	15	14	14	13	**8**	6
B2. Export value growth at historical average minus one standard deviation in 2013-2014 3/	17	18	20	20	19	18	**13**	10
B3. US dollar GDP deflator at historical average minus one standard deviation in 2013-2014	17	16	15	14	14	13	**8**	6
B4. Net non-debt creating flows at historical average minus one standard deviation in 2013-2014 4/	17	16	16	17	16	15	**14**	10
B5. Combination of B1-B4 using one-half standard deviation shocks	17	18	20	20	20	18	**16**	12
B6. One-time 30 percent nominal depreciation relative to the baseline in 2013 5/	17	16	15	14	14	13	**8**	6
Debt service-to-revenue ratio								
Baseline	12	11	11	11	10	9	**6**	5
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2012-2032 1/	12	11	10	10	10	10	**9**	19
A2. New public sector loans on less favorable terms in 2012-2032 2	12	11	10	10	9	9	**7**	6
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2013-2014	12	12	11	11	11	10	**6**	5
B2. Export value growth at historical average minus one standard deviation in 2013-2014 3/	12	11	11	11	11	10	**8**	6
B3. US dollar GDP deflator at historical average minus one standard deviation in 2013-2014	12	12	11	11	11	10	**6**	5
B4. Net non-debt creating flows at historical average minus one standard deviation in 2013-2014 4/	12	11	12	13	12	11	**11**	7
B5. Combination of B1-B4 using one-half standard deviation shocks	12	12	12	13	12	11	**10**	7
B6. One-time 30 percent nominal depreciation relative to the baseline in 2013 5/	12	16	15	15	14	13	**8**	7
Memorandum item:								
Grant element assumed on residual financing (i.e., financing required above baseline) 6/	8	8	8	8	8	8	**8**	8

Sources: Country authorities; and staff estimates and projections.

1/ Variables include real GDP growth, growth of GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
2/ Assumes that the interest rate on new borrowing is by 2 percentage points higher than in the baseline., while grace and maturity periods are the same as in the baseline.
3/ Exports values are assumed to remain permanently at the lower level, but the current account as a share of GDP is assumed to return to its baseline level after the shock (implicitly assuming an offsetting adjustment in import levels).
4/ Includes official and private transfers and FDI.
5/ Depreciation is defined as percentage decline in dollar/local currency rate, such that it never exceeds 100 percent.
6/ Applies to all stress scenarios except for A2 (less favorable financing) in which the terms on all new financing are as specified in footnote 2.